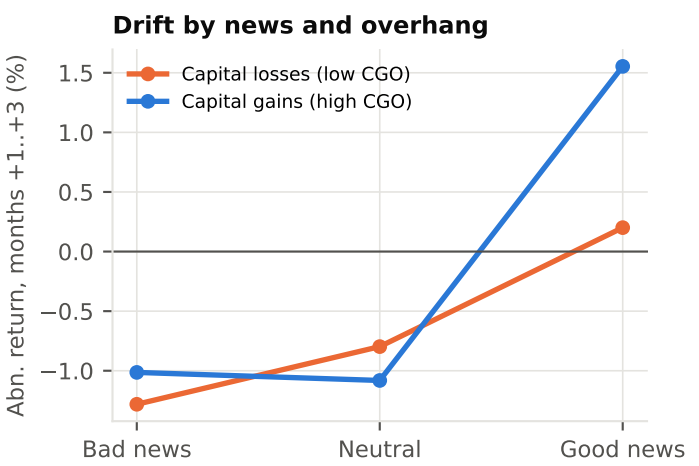
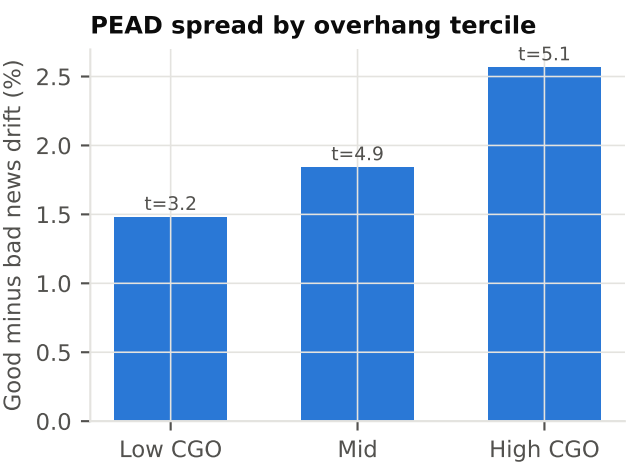

Drift by news and overhang
Capital losses (low CGO)
Capital gains (high CGO)
Abn. return, months +1..+3 (%)
1.5
1.0
0.5
0.0
−0.5
−1.0
Bad news
Neutral
Good news


PEAD spread by overhang tercile
Good minus bad news drift (%)
2.5
2.0
1.5
1.0
0.5
0.0
t=3.2
t=4.9
t=5.1
Low CGO
Mid
High CGO